

PARDEE RESOURCES COMPANY

3RD QUARTER 2019



Responsible Development of Natural Resource Properties
Integrity Creativity Excellence Respect Teamwork Family

To Our Shareholders:

During Q3 2019, Pardee Resources Company earned \$4.07 per share, 64.1% above the \$2.48 per share earned during Q3 2018. EBITDA was \$7.56 per share, a 39.0% increase above last year's level. Gains in metallurgical coal production drove a 43% increase in our Coal & Minerals Division revenues; while an increase in hardwood production resulted in revenue gains for our Timber and Surface Division. Despite these improvements, the Company faced several challenges during the quarter. Weak natural gas prices and production declines led to a decrease in our Oil & Gas Division revenues, while our California table grape ranches faced lower than expected yields and subdued market prices. Further, a significant downturn in metallurgical coal prices led to the temporary shut-down of mining operations at one of our properties; while the trade war with China continued to put pressure on the U.S. hardwood industry. Lastly, revenue gains in our Alternative Energy Division were offset by an increase in expenses related to DC Solar. The Company's investment in DC Solar represents a potential loss of up to \$7.2 million, the status of which remains unchanged (For more information on the DC Solar matter, please see the legal footnote on page 6 of this report).

Coal & Minerals Division: During the quarter, a softening in steel demand world-wide led to an over-supplied steel market, resulting in a 15-20% decline in metallurgical coal prices, depending on quality. Our lessee on our Powellton tract, having only recently acquired the operation earlier this year, was particularly vulnerable to the downturn and has temporarily suspended mining operations. Fortunately, at our Pardee Land tract, 643,886 tons were sold during the quarter, nearly twice the tons sold during Q3 2018. Our Pardee Land lessee is currently expanding their preparation plant capacity, allowing for additional production gains going forward; however, the current market weakness may impact Q4 shipments.

Oil & Gas Division: U.S. natural gas spot market prices averaged \$2.23 per MMBtu (NYMEX) during the quarter, 23.1% lower than \$2.90 per MMBtu average price during Q3 2018, as producers continued to increase production and drive down costs. Total production from our properties declined 8.6% during the quarter versus Q3 2018. Production declines related to our overriding royalty interests in Marcellus wells in northern West Virginia were partly offset by gains from our eastern Colorado interests. During the quarter, our average realized price was \$2.36 per mcf, 21.6% below the \$3.01 per mcf earned in Q3 2018, reflecting the softness in the natural gas markets noted above.

Timber & Surface Division: Through July 2019, U.S. hardwood exports to China declined 40% year to date due to the trade dispute between the two countries, putting significant downward pressure on hardwood market prices. During Q3 2019, favorable dry weather conditions, versus a very wet Q3 2018, led to a sharp increase in hardwood production from our properties, however, average hardwood stumpage prices were 28%

lower due to market weakness. Following the closing of a pulp mill in central Virginia, we postponed softwood pulpwood harvests during Q3, however, the Company executed a \$415,000 cash sale of softwood sawtimber in late October 2019 which will be recognized during the fourth quarter.

Agriculture Division: The California table grape harvest is underway with results coming in somewhat lower than anticipated due to the lingering effects of heavy rains earlier this year. Average prices, while improved, have still not fully recovered from last year's oversupplied market, with marketing firms emphasizing volume over price in order to avoid being left with unsold inventory. Meanwhile, we expect our 54,000 almond trees in Portugal, which are growing well, to produce their first commercial harvest in 2021.

Alternative Energy Division: Renewable energy, including both solar and wind, continues to be the fastest growing segment of electrical generation capacity in the U.S. The decline in the cost of battery storage, together with the need to store the excess electricity generated from installed solar assets, is leading to an increase in demand for battery capacity. We are exploring participation in this trend with a focus on solar + storage projects located in the California and Massachusetts markets. During Q3 2019, our existing solar assets produced \$1.23 million in revenues, 7.9% above Q3 2018 levels, due to favorable weather, however, our professional fees related to our DC Solar investment offset these revenue gains.

Strategic Focus: Various headwinds, including the U.S./China trade dispute and slowing global economic growth, have resulted in declining fundamentals across our various asset classes. We are nonetheless heartened by our strong financial position, an important cushion against the cyclical downturns typical of commodity-based industries. We ended the quarter with a very strong balance sheet, including \$22.9 million in cash and no debt, as we retired the last \$4.2 million of our outstanding non-recourse bank loan during the quarter. Our cash balance, together with our \$30 million bank line of credit, well positions the Company to pursue acquisition opportunities within our areas of focus.

*Please see page 6 for an update of legal matters.

Sincerely yours,



Chairman
William G. Foulke

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Pardee Resources Company
Unaudited Consolidated Balance Sheets

(Dollars in Thousands)

	<u>09-30-19</u>	<u>12-31-18</u>
ASSETS		
Current Assets:		
Cash & Cash Equivalents	\$22,922	\$15,271
Accounts Receivable	6,929	8,505
Prepaid Income Taxes	0	1,207
Other	<u>5,237</u>	<u>1,107</u>
	<u>35,088</u>	<u>26,090</u>
Fixed Assets: (Net of Depl. & Deprec.)		
Land & Right of Ways	29,599	32,073
Mineral Rights - Coal	33,646	33,717
Timber	11,322	13,510
Solar Equipment	23,472	24,454
Building & Structures	1,376	1,441
Agriculture Development	7,671	6,158
Equipment	581	662
Automobiles	86	95
Other Fixed Assets	<u>815</u>	<u>823</u>
	<u>108,568</u>	<u>112,933</u>
Investments & Other		
Oil & Gas Investments (Net of Depl. & Deprec.)	41,957	44,393
Equity Investments	452	445
Right of Use - Operating Assets	4,792	0
Other	<u>16</u>	<u>122</u>
Total Assets	<u><u>\$190,873</u></u>	<u><u>\$183,983</u></u>
LIABILITIES & EQUITY		
Current Liabilities:		
Accounts Payable	\$2,280	\$2,601
Deferred Revenues	784	775
Current Portion Note Payable (non recourse)	0	343
Income Taxes Payable	816	0
Other	<u>357</u>	<u>0</u>
	4,237	3,719
Noncurrent Liabilities:		
Non-recourse Debt	0	4,040
Asset Retirement Liability	401	394
Supplemental Pension Plan	381	361
Deferred Revenue, Net of Current Portion	2,219	2,718
Deferred Taxes	15,926	15,926
Operating Lease Liability	4,671	0
Other	<u>57</u>	<u>14</u>
Total Liabilities	<u>27,892</u>	<u>27,172</u>
Shareholder's Equity:		
Common Stock	775	775
Additional Paid in Capital	14,743	15,086
Retained Earnings	168,956	164,472
Treasury Stock	<u>(24,612)</u>	<u>(25,751)</u>
	159,862	154,582
Noncontrolling Interest	<u>3,119</u>	<u>2,229</u>
Total Equity	<u>162,981</u>	<u>156,811</u>
Total Liabilities & Equity	<u><u>\$190,873</u></u>	<u><u>\$183,983</u></u>

Pardee Resources Company
Unaudited Consolidated Income Statements

(Dollars in Thousands)

	Three Months Ended <u>09-30-19</u>	Three Months Ended <u>09-30-18</u>	Nine Months Ended <u>09-30-19</u>	Nine Months Ended <u>09-30-18</u>
Divisional Revenues:				
Coal & Minerals	\$3,747	\$2,627	\$13,433	\$10,146
Oil & Gas	1,713	2,334	5,683	6,057
Timber & Surface	1,710	1,093	4,267	3,831
Alternative Energy	1,228	1,141	3,200	3,043
Agriculture	<u>0</u>	<u>231</u>	<u>0</u>	<u>231</u>
	<u>8,398</u>	<u>7,426</u>	<u>26,583</u>	<u>23,308</u>
Divisional Expenses:				
Coal & Minerals	639	590	1,999	2,150
Oil & Gas	1,021	1,334	3,709	4,182
Timber & Surface	736	686	2,191	2,186
Alternative Energy	788	532	2,122	1,620
Agriculture	<u>100</u>	<u>379</u>	<u>438</u>	<u>481</u>
	<u>3,284</u>	<u>3,521</u>	<u>10,459</u>	<u>10,619</u>
Net Operating Income	\$5,114	\$3,905	\$16,124	\$12,689
Interest and Other Income (Loss)	35	10	151	68
Gain(Loss) on Equity Investment	27	40	55	(75)
General and Administrative	(1,484)	(1,554)	(4,983)	(4,975)
Interest Expense	<u>(39)</u>	<u>(70)</u>	<u>(170)</u>	<u>(312)</u>
Income Before Taxes	\$3,653	\$2,331	\$11,177	\$7,395
Taxes	<u>950</u>	<u>606</u>	<u>2,906</u>	<u>1,923</u>
NET INCOME	\$2,703	\$1,725	\$8,271	\$5,472
Net Loss - Noncontrolling Interest	<u>7</u>	<u>0</u>	<u>43</u>	<u>0</u>
Net Income - Pardee Resources Shareholders	<u>2,710</u>	<u>1,725</u>	<u>\$8,314</u>	<u>\$5,472</u>
EARNINGS PER SHARE	<u>\$4.07</u>	<u>\$2.48</u>	<u>\$12.49</u>	<u>\$7.85</u>
EBITDA PER SHARE	<u>\$7.56</u>	<u>\$5.44</u>	<u>\$23.30</u>	<u>\$17.58</u>
(earnings before interest, taxes, depreciation and amortization)				
Weighted Average Number of Common Shares Outstanding	<u>665,190</u>	<u>696,916</u>	<u>665,648</u>	<u>696,916</u>
Common Dividend Per Share	<u>\$1.80</u>	<u>\$1.80</u>	<u>\$5.40</u>	<u>\$5.40</u>
Total Shareholder Return (dividend paid plus change in stock price)			<u>2.65%</u>	<u>-1.86%</u>

Pardee Resources Company Comparison Data Sheet

	Three Months Ended <u>09-30-19</u>	Three Months Ended <u>09-30-18</u>	% <u>Change</u>	Nine Months Ended <u>09-30-19</u>	Nine Months Ended <u>09-30-18</u>	% <u>Change</u>
Coal & Minerals						
Revenues - Millions	\$3.75	\$2.63	42.6%	\$13.43	\$10.15	32.3%
Production - Coal Tons - Millions	0.78	0.50	56.0%	2.46	1.93	27.5%
Royalty/Coal Ton	\$3.76	\$4.40	-14.5%	\$4.24	\$4.59	-7.6%
Oil & Gas						
Revenues - Millions	\$1.71	\$2.33	-26.6%	\$5.68	\$6.06	-6.3%
Production - bcfe	0.64	0.70	-8.6%	1.85	1.96	-5.6%
Price/mcfe	\$2.36	\$3.01	-21.6%	\$2.81	\$3.06	-8.2%
Timber & Surface						
Revenues - Millions	\$1.71	\$1.09	56.9%	\$4.27	\$3.83	11.5%
Production - Board feet - Millions	3.80	1.58	140.5%	8.50	7.10	19.7%
Stumpage Price/Thousand Bd. Ft.	\$226.62	\$314.54	-28.0%	\$230.09	\$250.91	-8.3%
Production - Softwood Tons - Thousands	0.00	28.63	-100.0%	13.67	62.50	-78.1%
Stumpage Price/Ton Softwood	\$0.00	\$12.56	-100.0%	\$15.71	\$14.03	12.0%
Production - Hardwood Tons - Thousands	6.90	4.75	45.3%	17.56	19.51	-10.0%
Stumpage Price/Ton Hardwood	\$1.72	\$2.86	-39.9%	\$2.59	\$2.44	6.1%
Alternative Energy						
Revenues - Millions	\$1.23	\$1.14	7.9%	\$3.20	\$3.04	5.3%
Production - k/w - Millions	5.13	5.12	0.2%	14.20	14.19	0.1%
Electric Sales Price per k/w	\$0.114	\$0.113	0.9%	\$0.114	\$0.113	0.9%
Production - SREC Units	3,023	2,772	9.1%	7,863	7,541	4.3%
SREC Price/Credit	\$205	\$195	5.1%	\$191	\$181	5.5%
NET DIVISIONAL OPERATING INCOME:						
(Dollars in Millions)						
Coal & Minerals	\$3.11	\$2.04	52.5%	\$11.43	\$8.00	42.9%
Oil & Gas	0.69	1.00	-31.0%	1.97	1.88	4.8%
Timber & Surface	0.97	0.41	136.6%	2.08	1.65	26.1%
Alternative Energy	0.44	0.61	-27.9%	1.08	1.42	-23.9%
Agriculture	(0.10)	(0.15)	33.3%	(0.44)	(0.25)	-76.0%
Net Operating Income	<u>\$5.11</u>	<u>\$3.91</u>	30.7%	<u>\$16.12</u>	<u>\$12.70</u>	26.9%
EBITDA - Millions	<u>\$5.03</u>	<u>\$3.79</u>	32.7%	<u>\$15.51</u>	<u>\$12.25</u>	26.6%
(earnings before interest, taxes, depreciation and amortization)						

***Lexington v. Zinn**

On December 7, 2007, Lexington Land Development, LLC (Lexington) filed litigation against certain parties in East Baton Rouge Parish, Louisiana. Lexington claims that their 48-acre parcel was contaminated by a release from a pipeline owned and operated by Shell Pipeline Company (Shell), as well as the oil and gas exploration and production activities of other various defendants, including Zinn Petroleum Company (Zinn). Lexington seeks various remedies, including remediation and damages. The Company is not a defendant in this case; however, the Company has a minority interest in certain leases and wells operated by Zinn, and, under joint operating agreements, the Company and certain other interest owners are responsible for their respective shares of any damages or judgments sustained by Zinn.

Under Louisiana law, this litigation triggered attention from regulatory agencies. The Louisiana environmental regulatory agencies required Shell and other defendants, including Zinn, to submit plans for assessing soil and ground water conditions at the site. Shell completed its assessment and remediation which was approved by the agencies. Zinn's environmental experts have concluded their assessment and determined that Zinn's operations, which began in 1992, have been in compliance with regulatory standards. Zinn's experts have further determined that the data indicating the presence of certain constituents in the soil and shallow groundwater are the result of either former closed production storage pits used by other operators before Zinn began operations on the property or natural environmental conditions. Zinn's experts have also opined that the presence of these constituents is, for the most part, within applicable regulatory standards and not harmful to the environment. Finally, Zinn's experts have found defects in the methodology used by the plaintiff's experts and recommend that decisions regarding the need for assessment/restoration, as may be appropriate, be done under the direction of the regulatory agency in order to achieve regulatory closure status for the site.

Discovery is not complete, and a trial date has not been set. Zinn is vigorously defending both the civil and regulatory actions. On October 16, 2019, the district court ruled that plaintiff's claims against co-defendant Chevron would be dismissed because they were not filed timely. This is a favorable development but remains subject to potential appeal.

This action is subject to substantial uncertainties concerning the outcome of material factual and legal issues related to the litigation. Accordingly, we cannot currently predict the manner and timing of the resolution of these matters and are unable to estimate the amount of any possible losses, which could be material.

***Kings' Dome**

In 2016, the Company settled a lawsuit challenging its mineral servitude and lease in the Kings' Dome Field in Louisiana for an immaterial amount. Following this settlement, the Company's lessee and that lessee's assignee filed cross claims for the royalties paid the Company under the lease in the event the lessee and/or its assignee were held liable on the plaintiffs' claims for recovery of production revenues. The trial court ordered the severance of the cross claims from the primary action. In January 2017, the primary action went to trial. The plaintiffs' prevailed in trial and were awarded damages per the terms of a pretrial agreement. The Company understands that the parties to the primary action have reached a settlement, the terms of which are confidential. Meanwhile, by voluntary agreement of the parties to the cross claims and with the court's consent, the cross claims are being held in abeyance. If the cross claims are not resolved and are pursued against the Company, the Company intends to assert various defenses. If the Company is not successful in having the cross claims dismissed, the Company currently estimates that its exposure to these cross claims would likely not exceed \$360,000. The cross claims are also subject to a previously negotiated contractual indemnity for up to \$100,000 in the Company's favor. However, due to the inherently subjective nature of these estimates and the uncertainty and unpredictability surrounding the outcome of legal proceedings, the actual results may differ from the amount estimated and no amounts have been reserved in the financial statements.

In July 2017, a new legal action was filed against the Company in U.S. District Court for Western District of Louisiana also challenging its mineral servitude and lease in the Kings' Dome Field. The plaintiff alleged that the Company's mineral servitude terminated in 1999 under the Louisiana Mineral Code due to non-use for a ten-year period, that the Company's lease was consequently invalid, and that it is entitled to recover production revenues. The Company reached a confidential settlement with the plaintiff providing for the Company to make a payment of an immaterial amount. Two assignees of the Company's lessee filed cross claims against the Company for the royalties paid the Company as to acreage under the mineral lease. In June 2018, the District Court dismissed the cross claims of one of those assignees as being prescribed/time barred. The time for appealing the order of dismissal has passed, thus the dismissal order is final and unappealable. The Company and the other assignee reached a confidential settlement in January 2019 for an immaterial amount. Therefore, all potential liability against the Company in connection with this 2017 legal action has been resolved.

***DC Solar Solutions, Inc.**

In December 2015, the Company invested \$7.7 million in a limited partnership that purchased mobile solar generators (MSGs) from DC Solar Solutions, Inc. (DC Solar) and, in turn, leased the MSGs to DC Solar Distribution, Inc., an affiliate of DC Solar. In early 2019, the Company learned through public sources that the U.S. government seized substantially all of the assets of DC Solar and its affiliates in December 2018. DC Solar and its affiliates, including our lessee, subsequently filed for Chapter 11 bankruptcy protection in February 2019. An affidavit from a Federal Bureau of Investigation special agent was filed in February 2019 in the bankruptcy proceeding asserting that DC Solar was operating a fraudulent "Ponzi-like scheme" and that a majority of the MSGs sold to investors and a majority of the lease revenues claimed to have been received by DC Solar Distribution, Inc. may not have existed. The Chapter 11 proceeding has been converted to a Chapter 7 liquidation. Due to the bankruptcy proceedings being converted to Chapter 7 liquidation, the Company evaluated its remaining equity investment value of \$485,332 and recorded an impairment charge in that amount as of December 31, 2018. The Company is currently gathering additional information regarding this developing situation. An independent audit was completed which located and identified 124 of the 125 MSGs purchased by the Company's partnership in 2015. Due to various substantial uncertainties, the Company is currently unable to determine the financial impact, if any, arising from this complex situation; however, this impact could be as much as \$7.2 million, which includes related tax impacts.

Forward Looking Statement

Certain of the statements contained herein (other than statements of historical facts) are forward-looking statements. Such forward-looking statements include estimates and assumptions related to the Company's growth, reserves, the state of future markets for natural resource, renewable and agricultural products, and the ability of the Company to sell its natural resource, renewable and agricultural products on a profitable basis. These forward-looking statements are subject to change and uncertainty which are, in many instances, beyond the Company's control and have been made based upon management's expectations and beliefs concerning future developments and their potential effect on the Company. There can be no assurance that future developments will be in accordance with management's expectations or that the effect of future developments on the Company will be those anticipated by management. Actual financial results, including revenue growth and earnings results, could differ materially from those anticipated by the Company depending on the outcome of certain factors, which may include, among others, changes in the wholesale prices for timber, oil, natural gas, coal, renewable and agricultural products; increases in property acquisition costs; adverse weather conditions; litigation; failures of our lessees to mine, drill and harvest at rates we currently anticipate; differences between actual reserves and estimated amounts; legislative changes or government regulations which make it more difficult or expensive to sell, extract or harvest our natural resource, renewable and agricultural products or impose greater financial burdens on the users of such products; unanticipated costs for remediation and reclamation; the scope of the fraud alleged to have been conducted by DC Solar; and other risks and uncertainties.

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